

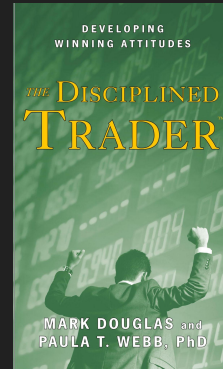
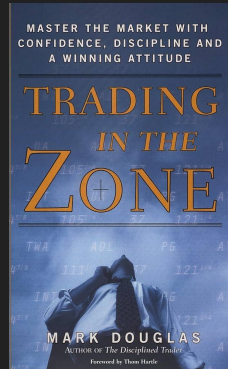
An amazing trading strategy could still lose money! ▼

Psychology & Risk Management

“Strong psychology is the root of success in trading and in life. Risk management is how we build that strong psychology.”

Sharique Samsudheen

“Trading is 80% money management and psychology, 20% strategy.”
- Mark Douglas



How many of you know how to drive a vehicle? 🚗

How did you learn? 

Skill needs time to develop and compound

You need to give time 

You need to have mental peace to give time = Psychology

Psychology is the Foundation to Win Anything ⚡

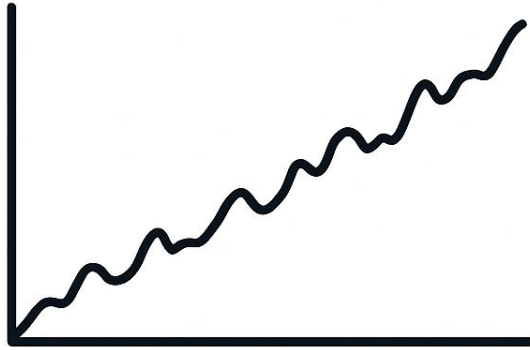
Driving: If you crash every single day, will you ever become a good driver? No - you'll be anxious, fearful, and quit.

Cricket: If you try to hit a six every ball and get out in the first 5 balls, can you ever become a good batsman? No - consistency builds confidence.

Core idea: Without a stable mental state, skills never compound.

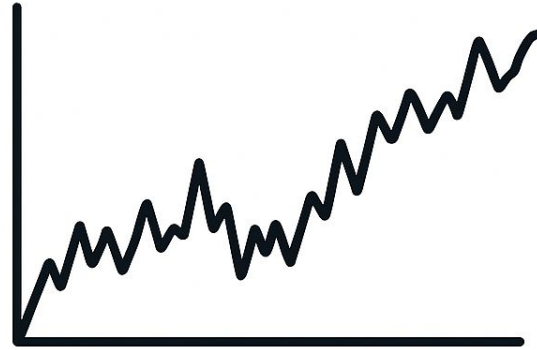
Trading too: To be calm, rational, and disciplined, you need to protect your mind from huge swings and losses that you cannot afford.

Steady



Calm
trader

Volatile



Stressed
trader

The Role of a Steady Equity Curve

Equity curve is the graphical representation of the value of a trading account over time. It shows how capital grows or shrinks with every trade, reflecting both profits and losses. A smooth upward equity curve indicates consistency and manageable risk, while a volatile one signals instability and stress.

Max drawdown is the largest percentage decline from a portfolio's peak value to its lowest trough before a new peak is made. It measures the worst-case capital drop a trader has faced during a period.

Example - Start with ₹1,00,000. Equity curve grows to a peak of ₹2,00,000. Then it falls to ₹1,00,000 before recovering. **The peak-to-trough decline is $(2,00,000 - 1,00,000) \div 2,00,000 = 50\%$ Max DD.**

Why it matters?

Smaller DD → less fear & FOMO, easier to follow plan, fewer revenge trades → higher probability you're still around to learn and improve.

If the stock you bought falls 50%, how much should it grow for you
to reach breakeven? 

Drawdown	Recovery % needed
10%	11%
20%	25%
30%	43%
40%	67%
50%	100%
75%	300%
90%	900%

Keep max drawdown as low as possible. I try to keep it under 10%

Risk Management is the Solution 

Imagine you have ₹1,00,000

You toss a fair coin. Heads you win how much ever you bet, tails you lose
how much ever you bet

How much will you bet on each trade?

Position Sizing is Key to Risk Management

Position sizing is the process of deciding how much capital to risk on a single trade based on your total account size, risk tolerance, and stop-loss distance. It ensures that no single trade has the power to significantly damage your account or psychology.

Position size is the primary lever of survival. With small risk you can absorb variance, stay in the game, learn, and let skill compound. **With oversized bets you create psychological trauma and high risk of ruin.**

Risk:Reward is Key to Risk Management

Risk-reward ratio compares the potential profit of a trade to the potential loss.

It is calculated as: Potential Reward $\div$ Potential Risk.

Example:

If you risk ₹1000 to make ₹500 (RRR = 0.5:1), even with a 70% win rate:

7 wins $\times$ 500 = +₹3500

3 losses $\times$ 1000 = -₹3000

Net = +₹500 (tiny edge, wiped out by costs).

If you risk ₹1000 to make ₹2000 (RRR = 2:1), even with a 40% win rate:

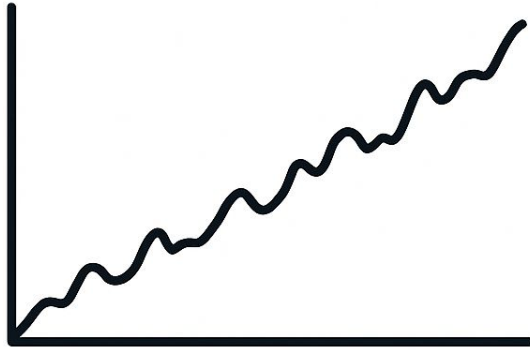
4 wins $\times$ 2000 = +₹8000

6 losses $\times$ 1000 = -₹6000

Net = +₹2000 (profitable despite low accuracy).

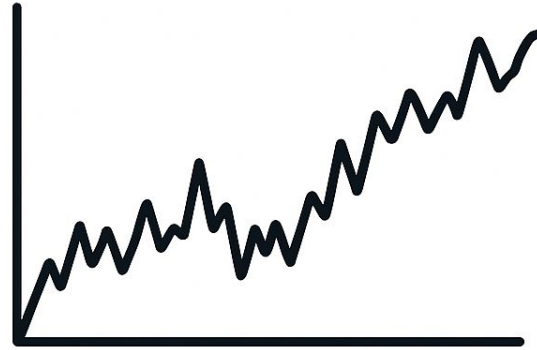
Position Sizing & Risk:Reward decide your journey

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Lessons

1. **Maintain a steady equity curve:** Avoid big losses, avoid big draw downs.
2. **Risk per trade:** 0.5%–2% of capital for most; avoid >3% except with proven edge.

Example, if keeping 10% SL on a trade, if you want maximum impact on capital to be 1%, take the trade with 10% capital only

3. **Position sizing formula:** Capital % to be deployed = (Max capital % you want to risk/SL % of the trade)*100

Example, Total capital = ₹1,00,000

Max risk per trade (Y) = 2% = ₹2,000

Trade setup stop-loss (a) = 5%

Capital % to Deploy = $(2 \div 5) \times 100 = 40\%$

You should deploy ₹40,000 in this trade so that a 5% stop-loss equals ₹2,000 (2% of total capital).

Lessons

1. **Maintain healthy risk:reward ratios**
2. **Stop-loss decided at entry (no mental SLs)**
3. **Daily/weekly loss limits:** Stop for the day/week at max 2-3% loss
4. **No averaging losers; only scale into winners.**
5. **Risk budget by strategy:** higher confidence systems get more risk; new ideas start tiny.

Common Psychological Biases

Gambler's Fallacy: Believing a win is “due” after a streak of losses. Each trade is independent, past results don't change probabilities.

Sunk Cost Fallacy: Refusing to cut a losing trade because you've already invested too much. Past losses are irrelevant to future outcomes.

Overconfidence: A few wins create the illusion of invincibility, leading to oversizing and reckless trades.

Loss Aversion: The pain of losing outweighs the joy of winning, causing traders to cut winners early and let losers run.

Confirmation Bias: Seeking information that agrees with your position and ignoring contradictory evidence.

Recency Bias: Judging your system based on the last 1-2 trades rather than long-term data.

Hygiene Best Practices

Pre-trade checklist: Review setup, stop, size etc before entering.

Post-trade journaling: Record not only numbers but also emotions and thought process.

Weekly reviews: Study equity curve, max drawdown, and note any rule breaks.

Mindset training: Use meditation, exercise, or breathing techniques to reduce stress and maintain calm focus.

Conclusion

Mantra: Survive first, thrive later.

Skill compounds only with time. Time requires survival. Survival requires a calm mind. A calm mind requires risk rules.

Student pledge:

- I will cap risk per trade at 1-3%.
- I will set stop losses at entry, with good risk:reward and respect them.
- I will stop trading for the day after max stop loss is hit.
- I will journal emotions, decisions and journey.